

CHAPTER 10

Flat Price Trading & Financial Contracts

Futures, forwards and swaps — the instruments that turn price into a tradable contract.



TRADING PRICE, NOT BARRELS

A billion barrels of paper

1M+

WTI contracts a day · 1,000 bbl each

Over a billion barrels of paper oil daily against ~100 million real ones. Almost all of it is price being traded, not crude being moved.

Flat price is the outright price

Taking a position on the absolute level of crude — long if you expect it to rise, short if you expect it to fall.

The contract is the vehicle

You rarely buy the barrel itself — you buy a financial contract whose value tracks the price of the barrel.

Three core instruments

Futures, forwards and swaps turn a price view into a tradable, hedgeable position.

What flat price means

The outright level

Flat price is the full dollar price of a barrel — say Brent at \$94 — as opposed to the difference between two prices.

A directional view

A clean bet on direction — it carries the full exposure to everything that moves the market, from OPEC+ to the dollar.

Versus differentials

Differential or basis trading bets on the gap between two prices — one grade versus another, or one month versus the next.

The starting point

The most basic position in the market — every more complex strategy is built by combining or offsetting flat-price exposure.

Forwards

The simplest agreement

A private deal to buy or sell a set quantity at a fixed price on a future date — the oldest and most basic financial contract.

Customized & bilateral

Terms are negotiated directly between two parties — any volume, grade, location or date — and traded over the counter.

Locks in a price

It removes uncertainty: both sides know today exactly what they will pay or receive later, whatever the market does.

The catch

Being bilateral, each side carries the risk that the other fails to perform — and the position is hard to exit before maturity.

Futures

A forward, exchange-traded

A future is a forward made standard — fixed size, quality and delivery, listed on an exchange such as ICE or CME.

Marked to market daily

Gains and losses settle every day through margin, so exposure stays current and small rather than building up to expiry.

Cleared & guaranteed

A clearing house stands between buyer and seller, so counterparty risk is removed and any position can be opened or closed in seconds.

Deep liquidity

Standardization concentrates all interest into a few contracts, making futures the most liquid way to trade flat price.

Forwards versus futures

	Forward	Future
Terms	Customized to your exact need	One standard contract for all
Venue	Private & bilateral (OTC)	Public & exchange-traded
Counterparty	Exposed to the other side	Clearing-house guarantee + margin
Edge	Precise fit & flexibility	Ease, speed, safety & liquidity

Most flat-price trading happens in futures — liquidity and safety usually win over precise fit.

Swaps

The core idea

An agreement to exchange one price for another over time — typically a fixed price against a floating market price.

Built for hedging

An airline or refiner can fix its cost for months ahead with a single swap, smoothing price swings across the period.

Fixed for floating

One side locks in a fixed price; the other pays whatever the market averages. They settle the difference — no barrels move.

The OTC workhorse

Mostly traded over the counter and dominant in commodity risk management — though many are now centrally cleared.

How a swap works in practice

The setup: a refiner agrees a one-year swap fixing Brent at **\$90**. The bank pays floating; the refiner pays fixed, on a set volume each month.

If prices rise

Market averages \$100. The bank pays the refiner the \$10 difference — offsetting the higher price it pays for physical crude.

Bank → Refiner \$10

If prices fall

Market averages \$80. The refiner pays the bank \$10 — but buys physical crude cheaper, so total cost still lands near \$90.

Refiner → Bank \$10

The outcome

Either way the refiner's effective price is fixed near \$90. The swap converted an uncertain cost into a known one.

Effective ≈ \$90 / bbl

THE TWO DIRECTIONS

Going long and going short

Long

Buying a contract expecting price to rise — profits as the market climbs, loses as it falls.

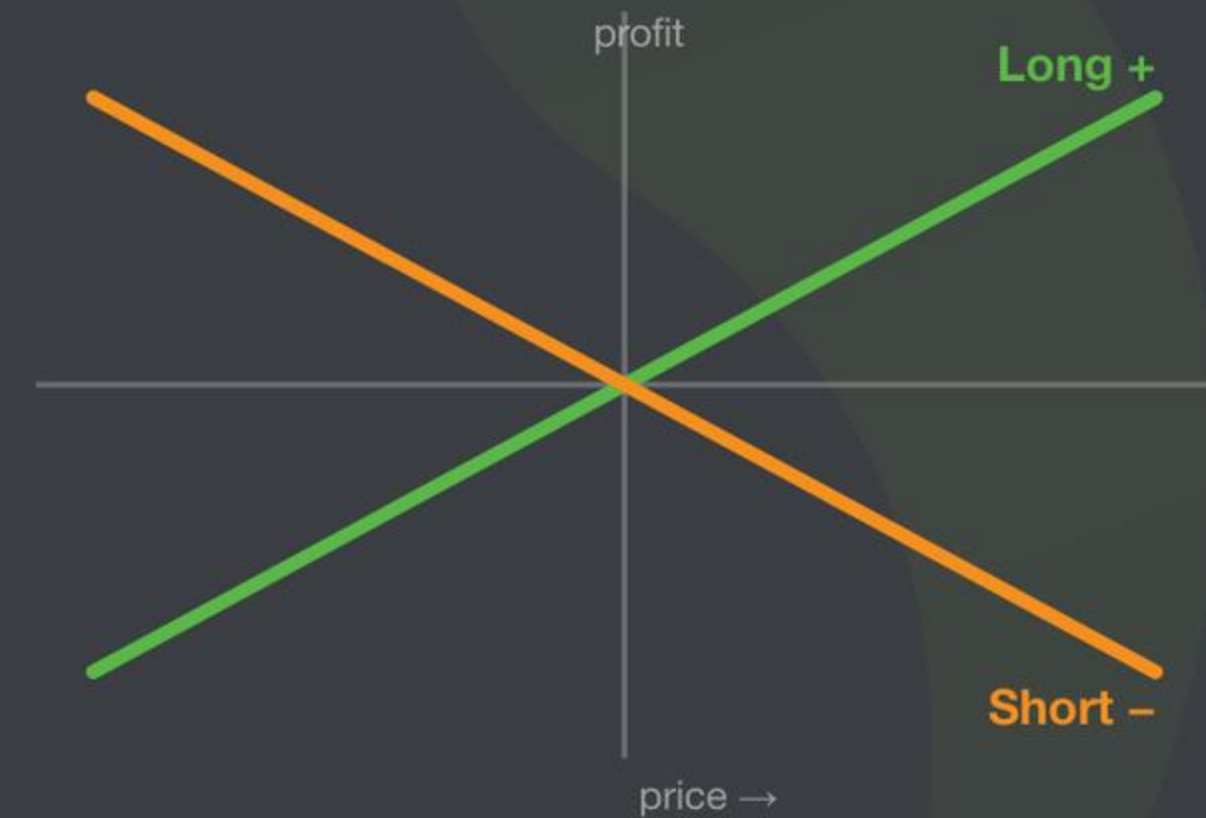
Short

Selling a contract you do not own, expecting price to fall — profits as it drops, and lets producers hedge.

Symmetry & leverage

For every long there is an equal short. Only margin is posted, so a small amount of capital controls a large position — amplifying gains and losses.

PAYOFF VS PRICE



The front month and rolling

Front month

expiring

— close →

Next month

open

=

ROLL

exposure kept

The front month

The nearest-dated contract. "Oil is at \$94 today" means the front-month flat price.

Expiry approaches

A financial trader who does not want to make or take delivery must exit before the contract expires.

Rolling the position

To keep exposure, close the expiring contract and open the next month — "rolling" forward.

The roll has a cost

Whether the next month is dearer (contango) or cheaper (backwardation), rolling either costs or earns money over time.

Why these contracts matter

Hedging

Producers, refiners and consumers use futures and swaps to fix prices and protect margins against an uncertain market.

Speculation

Traders take flat-price positions to profit from a directional view, providing the liquidity hedgers rely on.

Price discovery

The constant trading of these contracts produces the public, forward-looking price the whole industry references.

The double edge

The same leverage that makes these contracts efficient makes them dangerous — disciplined risk management is the job.

CONCLUSION — PRICE MADE TRADABLE

Master flat price and the three core contracts, and you hold the vocabulary for every strategy.

Flat price is the foundation

Trading the outright level is the most basic position — the base everything else is built on.

Three instruments, one purpose

Forwards, futures and swaps all fix or trade a future price — differing in customization, clearing and liquidity.

Paper serves the physical

These contracts exist so the real barrel can be hedged and priced — vast because that need is universal.